Kettering University

School of Foundational Studies

ECON-342: Intermediate Microeconomics, Managerial Economics

*****Prerequisite: ECON-201 Economic Principles*****

Fall 2026

Tuesdays and Fridays, 1:20 pm – 3:35 pm, AB 3333

PROFESSOR: Office: Mott 2211

Petros E. Ioannatos, Ph.D. Phone: (810) 762-7955

Professor of Economics email: pioannat@kettering.edu

School of Foundational Studies (SoFS) [preferred]

COURSE TEXTBOOK: [Before you buy, wait for the class discussion on this matter].

J. R. McGuigan, R. C. Moyer, and F. H Harris, Managerial Economics: Applications, Strategy, and Tactics, 14th edition, Cengage Learning, hardback ISBN: 9781305506381, e-textbook version ISBN: 9780357695210.

Optional Additional reference:

M. Hirschey, E. Bentzen, C. Scheibye, Managerial Economics, Cengage Learning, 15th edition, ISBN 9781473758353.

COURSE DESCRIPTION/COURSE SCHEDULE:

This intermediate level microeconomics course focuses on the economic decisions of households and individual firms in the markets for final products and resources. The course is application oriented and emphasizes essential features of microeconomic theory useful to managerial decision-making. The content builds on to itself and creates a holistic approach to the understanding of Economics. Constrained and unconstrained optimization is used to demonstrate the applicability of microeconomic theory to a variety of economic and business situations. Perspective students are expected to have a firm understanding of algebraic methodology. Topics to be covered include: the price system and the interaction of buyers and sellers in terms of the framework of demand and supply [**week 1**], the comparative statics of the demand and supply framework along with relevant applications [**week 2**], various types of elasticity, incidence of tax [**week 3**], theory of consumer behavior and choice [**week 4**], income and substitution effects, Marshallian and Hicksian demand curves [**week 5**], production analysis in the short-run and the long run [**week 6**], short-run and long-run theory of cost, firm's optimum size [**week 7**], theory of market structures and pricing practices under various degrees

of competition: perfect competition [**week 8**], monopoly, duopoly, monopsony [**week 9**], monopolistic competition [**week 10**], theory of oligopoly, game theory, market failure, government regulation of business, and decision making under uncertainty, [**week 11**].

COURSE OBJECTIVES:

1. Explain the use of microeconomics for managerial decision-making and public policy by means of quantitative methods of analysis such as algebra, calculus and statistical methodology.
2. Demonstrate the role of the price system for the efficient production and allocation of goods and services.
3. Understand the tax incidence consequences of market regulation in terms of price ceilings, price floors and sales taxes.
5. Understand consumer and producer behavior where optimum outcomes are determined as a constraint optimization process.
4. Apply microeconomic theory and concepts to problem solving situations faced by a firm such as determining the proper production level and the optimum firm/plant size necessary to maximize profits.
5. Analyze how firms take pricing and production decisions under various degrees of market competition and derive conclusions for the relevant industry behavior.
6. Understand market failure and the role of government in such situations.
7. Provide the background to conduct independent research using microeconomic variables and procedures.

GRADING AND EXAMINATIONS:

The course grade will be determined based on three (3) written in class examinations; two midterm examinations and a final examination. Each examination will account for one-third (1/3) of the course grade. Tentatively speaking, the first and second midterm examinations will take place, respectively, on the 4th Friday and 7th Friday of the term. The registrar will schedule the date and time of the final examination. The duration of each examination will be one (1) hour and thirty (30) minutes. Examinations will be closed book, closed notes, and closed neighbor. The use of computers, tablets, cell phones, iPhone watches, programmable graphic calculators (such as TI-83 and higher) and devices capable of storing and/or transmitting information are not permitted during the examinations and/or during the reviewing of examinations. Those devices must be stored away from reach. Students not complying with those instructions are subject to disciplinary action, as described below, for violating academic integrity. Simple non-programmable calculators are permitted. Foreign students may use paper dictionaries. Must show dictionary before exam begins. The material of the examinations will be announced in class. The examinations questions will be based on lecture material, lecture

discussions and on homework. Each examination will consist of 15±2 questions and will contain a) short-problem, short-answer type of questions, b) multiple choice questions, and c) the drawing of diagrams. Examination questions will be designed to emphasize the intuitive and in-depth understanding of the course material. The course material is sequential. Therefore, examinations will be cumulative in nature. Emphasis will be placed on the material covered between the previous examination and the current examination. The course grade is to be determined on a straight scale. Depending on class performance a "curve" might be used. The benefit of the "curve" is reserved only for students attending class regularly. All examinations **must** be taken on the prearranged dates and times. Failing to take an examination will automatically result in a grade of **zero** on the said examination. Make up examinations will not be permitted except in the event of a **legitimate and documented** excuse. Students must arrange travel, vacation, business matters, social events and personal affairs so as not to interfere with the examination schedule.

GRADING SCALE:

A: 100 – 95, **A–:** 94 – 90, **B+:** 89 – 88, **B:** 87 – 82, **B–:** 81 – 80, **C+:** 79 – 78, **C:** 77 – 72, **C–:** 71 – 70, **D+:** 69 – 68, **D:** 67 – 60, **F:** 59 –

HOMEWORK:

Homework will be assigned on a weekly basis. Homework questions are not to be turned in and do not contribute towards the course grade. The purpose of the homework is to indicate the type of questions to be expected during examinations. The homework questions will be reviewed at the start of the subsequent lecture and student involvement, and participation is expected. This is a challenging course and individual enforcement of material is required. Keeping up with course material, working on the homework questions and coming to lecture prepared is highly recommended.

Student Office Hours:

In-person: AB 3333, Tuesdays and Fridays, 12:20 pm – 1:20 pm and 5:40 pm – 6:40 pm, please provide notice when you are coming. In addition, immediately after class and by appointment.
By email: pioannat@kettering.edu with same day response in most cases. Please include full name and course (i.e., John Smith, ECON-342: Intermediate Microeconomics, Managerial Economics).

POLICIES and PROCEDURES:

1. Violating the **code of academic integrity** will result in a zero grade in the respective examination and, in addition, **a failing grade for the course.**
2. Students with **accommodations** approved by the Wellness Center should contact this

professor by the end of the second week of the term.
3. University policy requires **in-person and in-class attendance**. Regular attendance is a key component of student engagement and academic success. Attendance will be taken each time the class meets.
4. **Notetaking** is an essential element of the learning process and an integral part of attendance. As in-class and in-person attendance is required (see, item 3 above), to incentivise attendance, students are responsible for their own notetaking.
5. Students should always bring their **laptop** to class, which should be ready and able to connect to Blackboard.
6. Students are responsible for **all announcements** made in class by the professor.

Economics Minor

School of Foundational Studies
Total Required Credits: 16

The following provides information regarding the economics minor. The present course, ECON-342 is a required course for the economics minor.

Required Courses:

Code	Title
ECON-201	Economic Principles
ECON-342	Intermediate Microeconomics, Managerial Economics
ECON-344	Intermediate Macroeconomics, Economic Growth and Fluctuation

Select one of the following:

Code	Title
ECON-348	History of Economics Thought
ECON-350	Comparative Economic Systems
ECON-352	International Economics
ECON-354	Money and Banking
ECON-391	Economics Special Topics